

WEST VALLEY FRESH DISTRIBUTION COMPANY

# A disciplined 5-city pilot is the right way to enter organic Hass avocados

This deck argues for a selective launch, not a broad rollout, by testing price support, organic readiness, freight resilience, and seasonality in the supplied city data.

PILOT ORDER  
**20,000 organic units**

MARKET SCOPE  
**40 city markets**

HISTORY  
**2019 to Jun 2025**

Prepared as an anonymized submission for the 2026 IMA Student Case Competition. The deck is designed to stand alone without speaker notes.

DECISION TO PROVE

Enter through a disciplined 5-city pilot, then scale only where realized economics hold.

THIS DECK TESTS

- Whether local price support outweighs simple market size.
- Whether the top-ranked cities survive freight volatility.
- Whether seasonality changes how the pilot should operate.

# West Valley should launch a disciplined 5-city organic pilot

## RECOMMENDATION

### Launch Seattle, Boise, Portland, Spokane, and San Diego first.

These five cities combine premium June pricing, organic readiness, and manageable freight better than a broad national rollout.

SEATTLE

BOISE

PORTLAND

SPOKANE

SAN DIEGO

AVG PROFIT

**\$13.7k**

AVG MARGIN

**69.7%**

RANK-5 GAP

**\$1k**

Model note: each city is scored as a comparable 20,000-unit scenario using June 2025 retail price as the June 2026 proxy.

## WHY THESE CITIES

### Highest June price support

The selected five are also the five highest-price June 2025 organic markets in the

## WHY THE LIST HOLDS

### Same 5 cities

The recommendation is unchanged in the base, +50%, and -50% shipping cases.

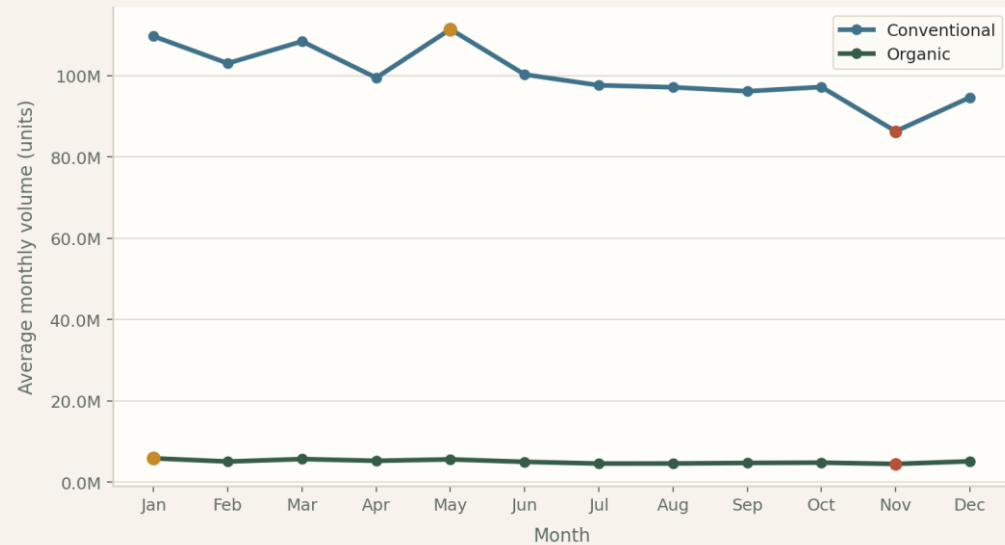
## HOW TO OPERATE IT

### Pilot before scale

Run a tight launch first and use seasonality to shift from volume protection to margin protection by month.

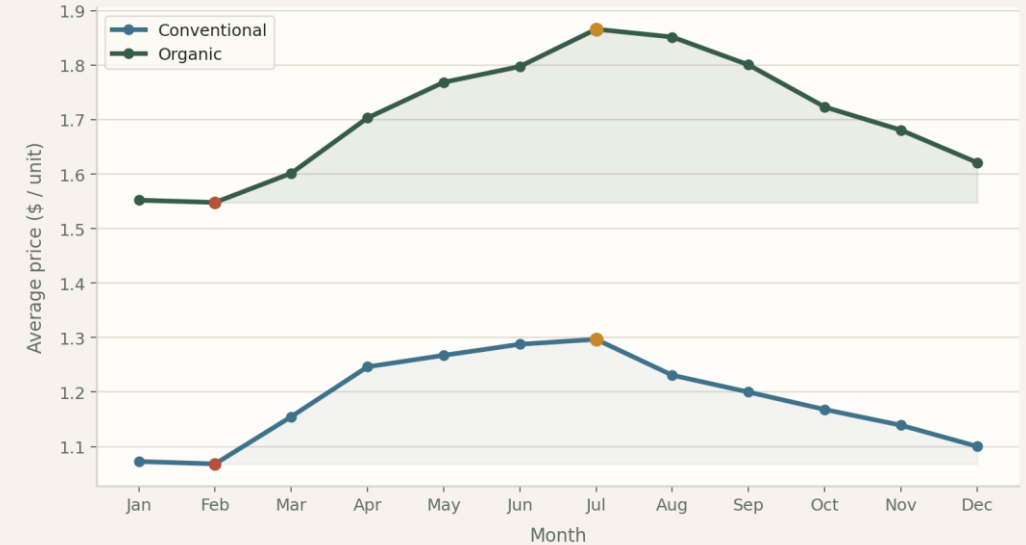
# Seasonality creates a timing gap between volume and price

**Volume peaks earlier than price, creating a seasonal timing gap**



Volume arrives early. Organic volume peaks in January, conventional peaks in May, and both soften into November.

**Prices crest in July after the strongest volume months**



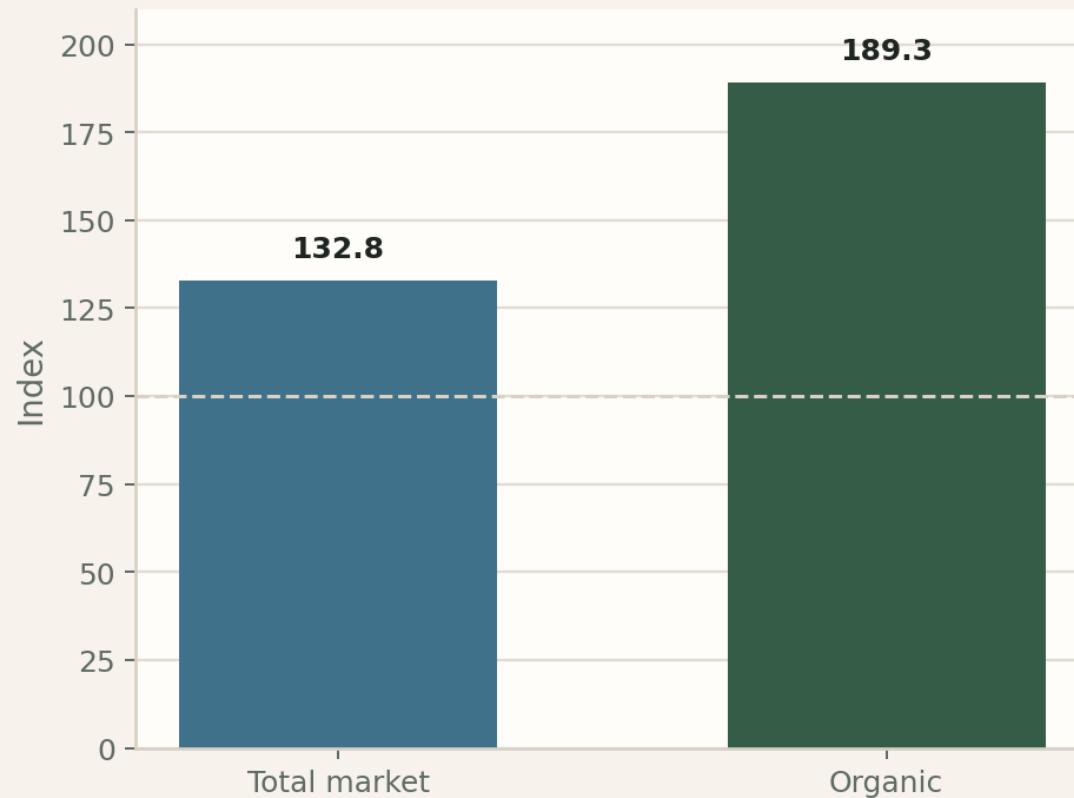
Price crests later. Both organic and conventional prices peak in July and bottom in February.

The market absorbs more units before it offers peak pricing, so timing affects margin capture, promotions, and inventory allocation.

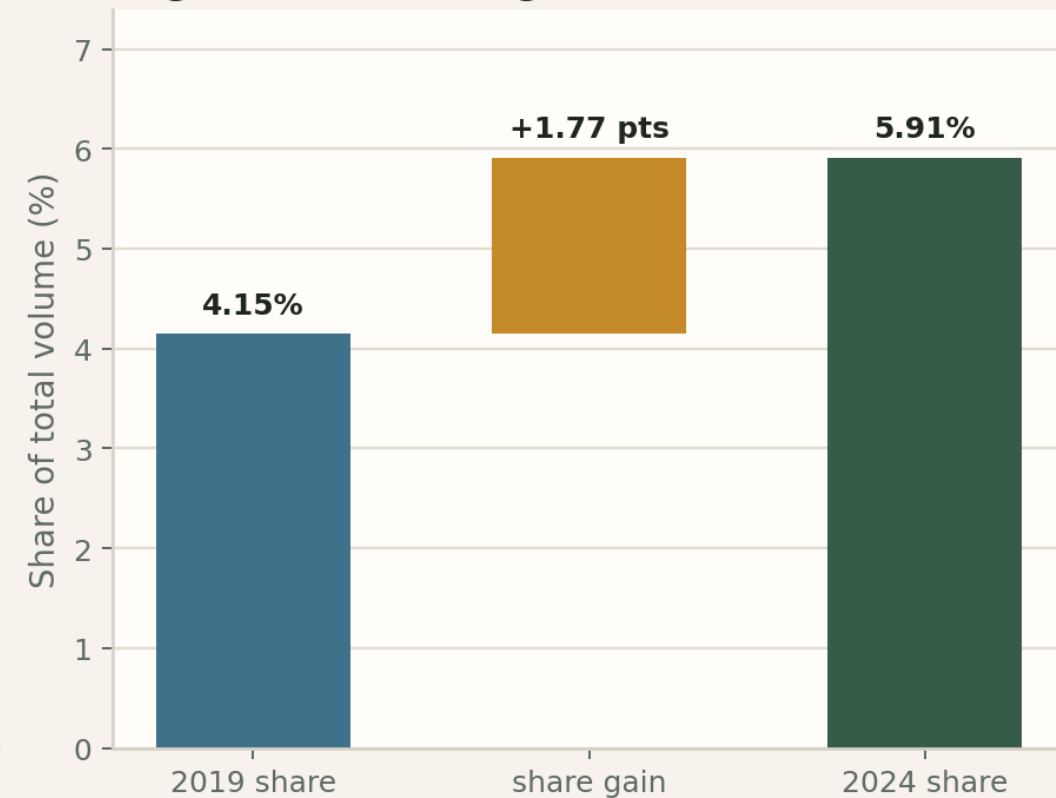
## Organic volume nearly doubled from 2019 to 2024 while share rose 1.77 points

Organic volume growth outpaced total market growth by a wide margin.

### Indexed volume growth 2019 = 100



### Organic share bridge



#### TAKEAWAY

Organic is still a niche share of the total market, but it is growing materially faster than the overall Hass category.

Use this as market context, not as a launch recommendation by itself.

# The pilot screen should be price support, organic readiness, and route efficiency

| FILTER            | WHAT GOOD LOOKS LIKE                               | EVIDENCE IN THE MODEL                                                                               | WHY IT MATTERS                                                                                                                                                                                      |
|-------------------|----------------------------------------------------|-----------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Price support     | <b>\$2.09 to \$2.66 June pricing</b>               | The selected five are also the five highest-price June 2025 organic markets.                        | High local price support matters more than raw market size. Total avocado scale alone is not enough to choose the right pilot. Freight changes margin, but it does not overturn the top-five order. |
| Organic readiness | <b>Seattle leads 5 of 7 periods</b>                | Organic penetration varies by city, so launch markets must show willingness to support premium mix. |                                                                                                                                                                                                     |
| Route efficiency  | <b>\$813 to \$1.0k profit loss at +50% freight</b> | The recommended cities keep the same ranking even after a large shipping shock.                     |                                                                                                                                                                                                     |

These three filters explain why the Pacific Northwest plus San Diego survives the market, mix, and freight tests that follow.

# Los Angeles leads dollar sales in every required period and in both types

WINNER MATRIX

| Period  | Conventional | Sales            | Organic     | Sales           |
|---------|--------------|------------------|-------------|-----------------|
| 2019    | Los Angeles  | \$168,441,113.66 | Los Angeles | \$9,068,580.19  |
| 2020    | Los Angeles  | \$183,468,438.65 | Los Angeles | \$11,908,220.99 |
| 2021    | Los Angeles  | \$185,781,878.55 | Los Angeles | \$12,707,651.17 |
| 2022    | Los Angeles  | \$200,884,971.76 | Los Angeles | \$11,802,704.11 |
| 2023    | Los Angeles  | \$183,874,319.76 | Los Angeles | \$11,217,465.08 |
| 2024    | Los Angeles  | \$211,232,192.30 | Los Angeles | \$15,265,758.39 |
| 2025 H1 | Los Angeles  | \$113,191,850.63 | Los Angeles | \$8,145,110.53  |

WINNER  
CELLS  
**14/14**

WINNING  
CITY  
**LA**

- Los Angeles is the clear scale leader in both conventional and organic revenue.
- This answers the sales question cleanly, but it does not mean Los Angeles is the best pilot market.
- The pilot recommendation still depends on price support, organic readiness, and freight.

# Conventional sales leadership is structural, not a one-year spike

TOP 5 CONVENTIONAL CITIES

| Period  | Balt/Wash | Dallas/FW | Los Angeles | New York | Phoenix/Tucson |
|---------|-----------|-----------|-------------|----------|----------------|
| 2019    | \$59.5M   | \$64.4M   | \$168.4M    | \$117.0M | \$54.4M        |
| 2020    | \$67.7M   | \$67.3M   | \$183.5M    | \$137.4M | \$59.7M        |
| 2021    | \$62.8M   | \$62.5M   | \$185.8M    | \$124.9M | \$57.5M        |
| 2022    | \$65.2M   | \$71.0M   | \$200.9M    | \$131.3M | \$64.8M        |
| 2023    | \$60.5M   | \$62.8M   | \$183.9M    | \$123.2M | \$60.8M        |
| 2024    | \$76.0M   | \$73.2M   | \$211.2M    | \$161.4M | \$70.0M        |
| 2025 H1 | \$41.7M   | \$42.6M   | \$113.2M    | \$90.7M  | \$39.4M        |

2024 LEAD VS NY

**\$49.8M**

2025 H1 LEAD VS NY

**\$22.5M**

Los Angeles is not just the winner. It leads by a structurally larger revenue base across every measured period.

# Organic sales leadership is consistent, but the gap is much narrower

TOP 5 ORGANIC CITIES

| Period  | Balt/Wash | Los Angeles | New York | San Fran | Seattle |
|---------|-----------|-------------|----------|----------|---------|
| 2019    | \$4.1M    | \$9.1M      | \$8.9M   | \$4.8M   | \$6.5M  |
| 2020    | \$4.7M    | \$11.9M     | \$9.2M   | \$6.7M   | \$6.8M  |
| 2021    | \$5.1M    | \$12.7M     | \$9.6M   | \$7.6M   | \$6.5M  |
| 2022    | \$5.2M    | \$11.8M     | \$9.4M   | \$7.4M   | \$7.0M  |
| 2023    | \$4.4M    | \$11.2M     | \$9.3M   | \$6.1M   | \$7.3M  |
| 2024    | \$8.1M    | \$15.3M     | \$12.6M  | \$5.8M   | \$8.9M  |
| 2025 H1 | \$5.0M    | \$8.1M      | \$7.5M   | \$3.2M   | \$4.2M  |

2024 LEAD VS NY

\$2.7M

SEATTLE IN TOP TIER

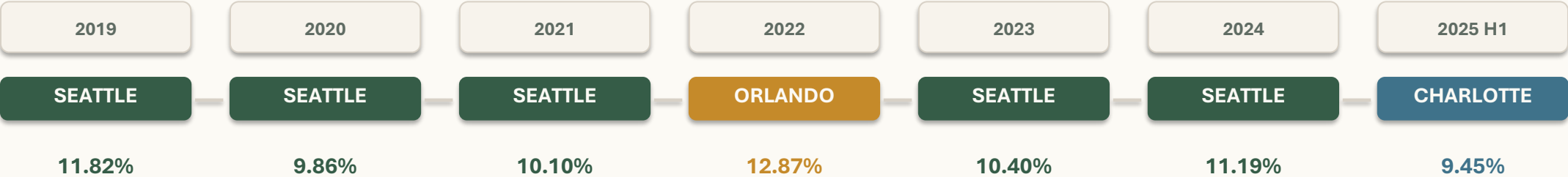
Top 5

Organic scale is less concentrated than conventional, which leaves more room for pilot-market selection to differ from simple size rankings.



# Seattle leads organic penetration in most periods

WINNER TIMELINE



MOST FREQUENT LEADER

**Seattle**

Wins 5 of the 7 measured periods and is the clearest indicator of organic readiness.

BEST ONE-YEAR SHARE

**Orlando 12.87%**

Orlando peaks in 2022, but it does not sustain the same multi-period lead.

CURRENT H1 LEADER

**Charlotte 9.45%**

Charlotte leads 2025 H1, showing that penetration leadership is not static.

# Organic share has expanded even though it remains a niche slice of the total market

## 2019 ORGANIC SHARE

**4.15%**

Organic started from a small base inside the total Hass market.

## 2024 ORGANIC SHARE

**5.91%**

The share has risen, but it is still a minority slice of total demand.

## ORGANIC VOLUME GROWTH

**+89.3%**

Organic volume grew much faster than the total category from 2019 to 2024.

## TOTAL VOLUME GROWTH

**+32.8%**

The overall market also expanded, but at a much slower pace.

## WHAT THIS MEANS

- The category is growing fast enough to justify entry.
- But the share is still small enough that city selection matters more than national scale ambition.
- That supports a pilot rather than a broad first-year rollout.

## INTERPRETATION

Organic is attractive because it is growing faster than the total Hass market. It still needs a disciplined launch because the category is not yet large enough to reward undifferentiated market entry.

# At the market level, higher prices generally coincide with lower volume

## MARKET-LEVEL RELATIONSHIP

PEARSON R

**-0.427**

R<sup>2</sup>

**0.183**

ELASTICITY

**-4.96**

- The overall relationship is moderately negative, not flat.
- That means higher-price markets often sell fewer units, but not in a mechanically perfect way.
- The recommendation still needs city-level nuance before turning this into a decision rule.

## READ IT THIS WAY

### Price matters at the market level.

But it does not tell the whole story. Market mix, organic readiness, and local structure still explain why some cities are better pilot markets than others.

This is why the deck separates scale leadership, penetration leadership, and entry-market economics instead of collapsing them into one rule.

## Within product type, price alone explains very little

### CONVENTIONAL

PEARSON R

**-0.026**

R2

**0.001**

ELASTICITY

**-0.39**

Inside each type, the observed relationship between price and volume is very weak. That means city mix and local market structure matter more than price alone once the product type is fixed.

### ORGANIC

PEARSON R

**-0.044**

R2

**0.002**

ELASTICITY

**-0.81**

Inside each type, the observed relationship between price and volume is very weak. That means city mix and local market structure matter more than price alone once the product type is fixed.

**Implication: do not overclaim elasticity. The pooled relationship is useful context, but pilot selection still requires city-level economics and penetration evidence.**

# Macro drivers include freight, fuel, inflation, and cross-border supply risk

## DRIVER

### Freight + fuel

Affects landed cost and changes the margin penalty on long-haul markets.

## DRIVER

### Imported supply risk

Mexico and cross-border flow disruptions can tighten availability and raise uncertainty.

## DRIVER

### Labor + inflation

Raises operating pressure throughout sourcing, distribution, and retail execution.

## DRIVER

### Seasonality + promotions

Changes when the market wants volume and when it supports price.

These are context drivers, not modeled outputs. They explain why a selective pilot with freight resilience and seasonal discipline is safer than a broad first-year rollout.

# Micro drivers explain why Los Angeles sells, Seattle penetrates, and the Pacific Northwest prices higher

CITY EVIDENCE MATRIX

| Market         | What it wins          | 2024 organic share | June price | Why it matters                      |
|----------------|-----------------------|--------------------|------------|-------------------------------------|
| Los Angeles    | Largest sales base    | 4.9%               | \$1.87     | Great scale, weaker pilot economics |
| Seattle        | Strong organic leader | 11.2%              | \$2.66     | Best mix of readiness and pricing   |
| Selected 5 avg | Pilot set             | 6.6%               | \$2.45     | Best overall entry screen           |

LOS ANGELES

Scale

Shows where baseline demand is largest.

SEATTLE

Penetration

Shows where organic adoption is strongest.

PACIFIC NW + SAN DIEGO

Price support

Shows where the pilot can monetize organic units best.

# The best entry markets need price power, organic readiness, and manageable miles

ENTRY SCREEN LEADERBOARD

| City          | Price  | Organic share | Miles | Profit   | Pilot        |
|---------------|--------|---------------|-------|----------|--------------|
| Seattle       | \$2.66 | 11.2%         | 1,029 | \$15,266 | Selected     |
| Boise         | \$2.59 | 5.4%          | 827   | \$14,838 | Selected     |
| Portland      | \$2.54 | 5.9%          | 855   | \$14,408 | Selected     |
| Spokane       | \$2.38 | 6.1%          | 1,097 | \$12,992 | Selected     |
| San Diego     | \$2.09 | 4.3%          | 253   | \$11,126 | Selected     |
| San Francisco | \$1.97 | 7.0%          | 283   | \$10,118 | Not selected |
| Sacramento    | \$1.90 | 3.7%          | 277   | \$9,578  | Not selected |
| Los Angeles   | \$1.87 | 4.9%          | 111   | \$9,404  | Not selected |

- Price power filters out large but lower-value markets.
- Organic readiness helps separate premium-fit cities from simple scale leaders.
- Miles still matter, but they do not overturn a strong local price advantage.

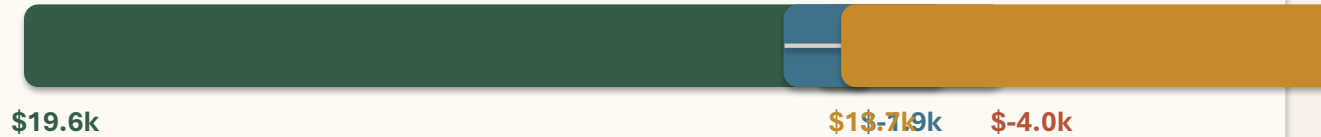
BRIDGE TO RECOMMENDATION

**Best pilot set =  
top 5**

# The profit model is simple, transparent, and easy to audit

## AVERAGE UNIT ECONOMICS

### REVENUE



Each city is scored using the same 20,000-unit assumption: planned wholesale revenue minus acquisition cost and the freight formula. The simplicity is a feature because judges can audit the math quickly.

### UNITS

**20,000**

Comparable scorecard for each city.

### WHOLESALE PRICE

**40% of retail**

Revenue proxy used consistently across markets.

### FREIGHT

**\$1,500**

Makes distance visible without overcomplicating the model.  
**+ \$50 / 100 miles**

This is not a full allocation model yet. It is a transparent city-selection model.



## June retail prices point to the Pacific Northwest as the premium opportunity

### TOP JUNE 2025 ORGANIC RETAIL PRICES

|                  |                                                                                      |        |
|------------------|--------------------------------------------------------------------------------------|--------|
| Seattle          |    | \$2.66 |
| Boise            |    | \$2.59 |
| Portland         |    | \$2.54 |
| Spokane          |    | \$2.38 |
| San Diego        |    | \$2.09 |
| San Francisco    |    | \$1.97 |
| CincinnatiDayton |    | \$1.92 |
| Sacramento       |    | \$1.90 |
| Los Angeles      |   | \$1.87 |
| Atlanta          |  | \$1.82 |

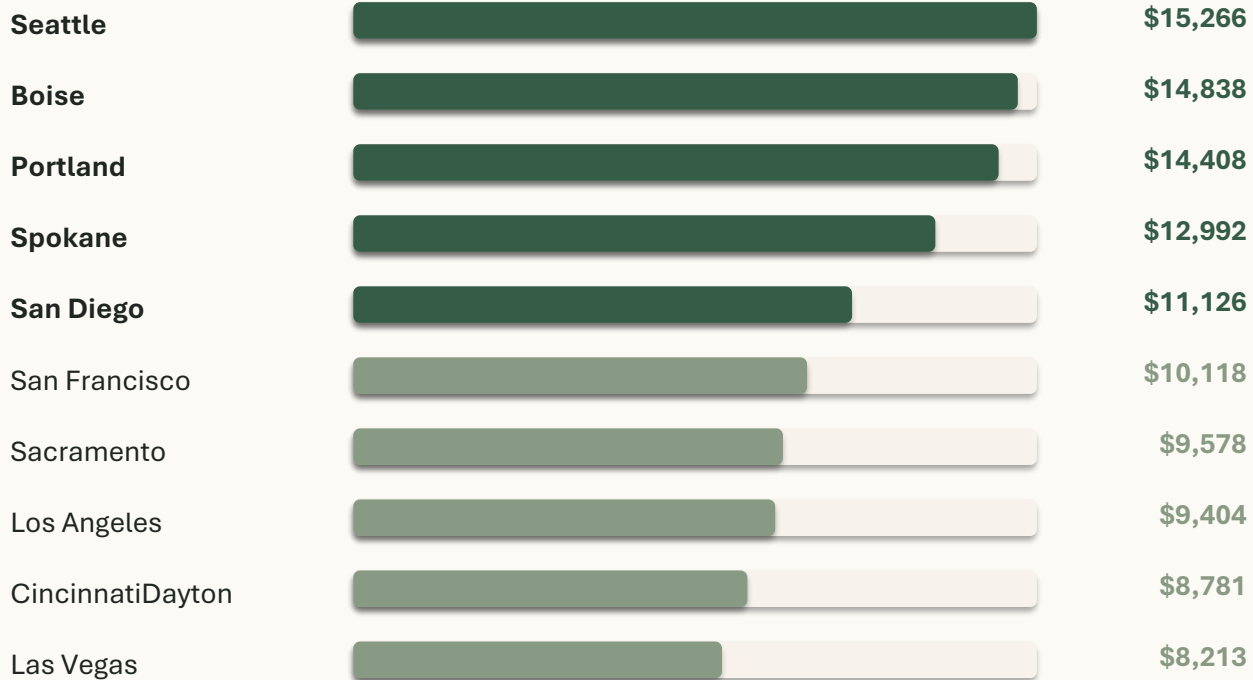
SELECTED CITIES IN  
TOP 5  
**5/5**

TOP PRICE  
**\$2.66**

- The selected five cities are also the five highest-price June organic markets.
- That is why price support keeps overpowering freight changes later in the analysis.
- Price is the strongest revenue-side reason the pilot set wins.

## Base-case profitability produces a clear top-five cut line

### TOP 10 CITY PROFIT RANKING



### WHY THE CUT LINE IS DEFENSIBLE

TOP-5 AVG

**\$13.7k**

NEXT-5 AVG

**\$9.2k**

RANK-5 VS RANK-6 GAP

**\$1k**

- The top five form a distinct profit tier rather than a noisy tie.
- All five are premium-price markets, not simply the nearest destinations.
- That makes the selection more robust to small assumption error.

# Seattle, Boise, Portland, Spokane, and San Diego maximize base-case profitability

SEATTLE

BOISE

PORTLAND

SPOKANE

SAN DIEGO

SELECTED CITY SCORECARD

| City          | Miles | Price  | Profit   | Margin |
|---------------|-------|--------|----------|--------|
| Seattle, WA   | 1,029 | \$2.66 | \$15,266 | 71.7%  |
| Boise, ID     | 827   | \$2.59 | \$14,838 | 71.5%  |
| Portland, OR  | 855   | \$2.54 | \$14,408 | 70.9%  |
| Spokane, WA   | 1,097 | \$2.38 | \$12,992 | 68.2%  |
| San Diego, CA | 253   | \$2.09 | \$11,126 | 66.4%  |

WHY THIS SET WINS

PRICE SUPPORT

**Top 5 price markets**

The selected cities are the strongest June organic price markets in this market.

FREIGHT

**Manageable miles**

San Diego provides a low-mile hedge while the Northwest still supports premium pricing.

RESULT

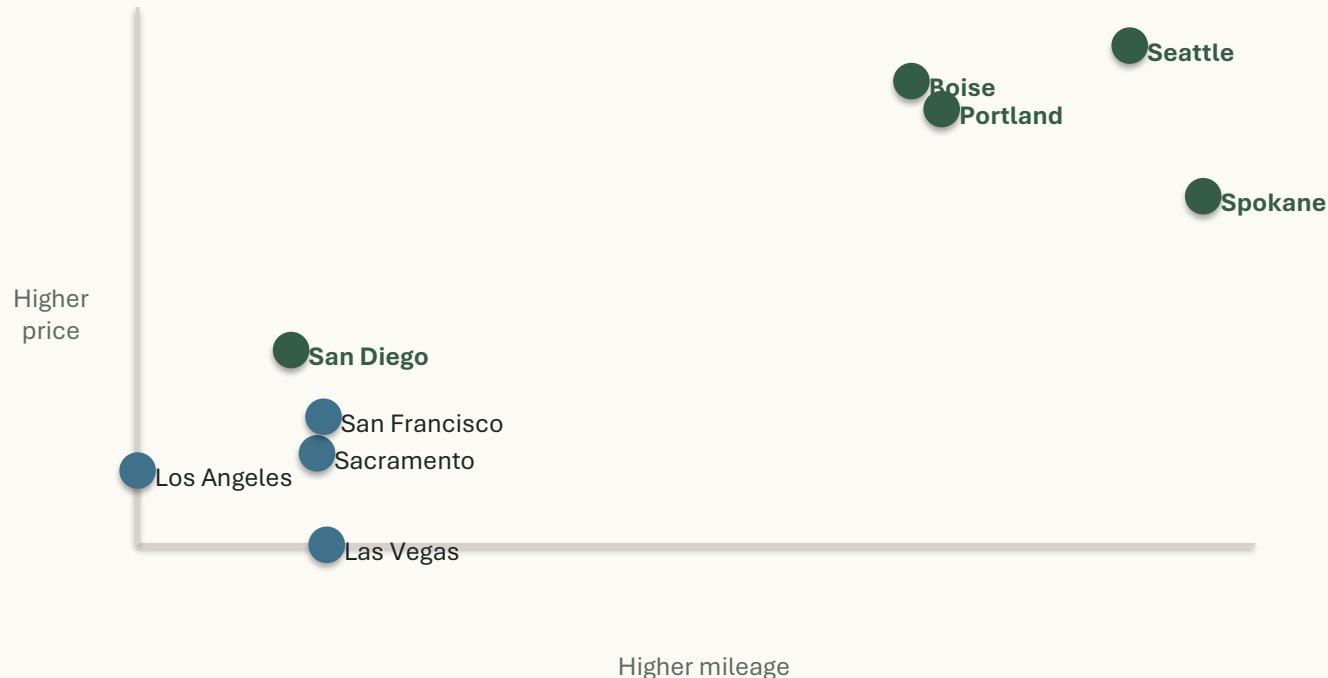
**Best profit set**

The five-city list wins on expected profit without requiring broad national compliance.

This is the formal answer: a diversified five-city pilot beats a broad rollout because the premium-price cities still produce the best economics after freight.

## The chosen five win on price support, not just distance

PRICE VS MILES



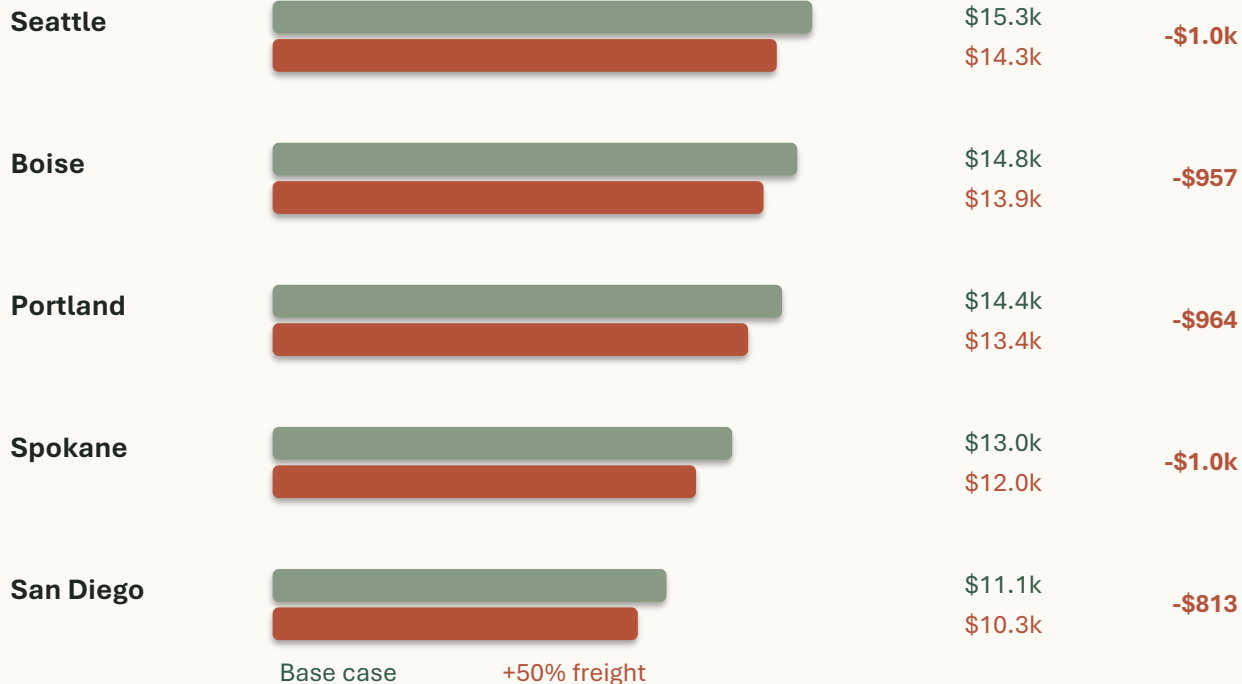
SELECTED AVG  
PRICE  
**\$2.45**

NEARBY ALT.  
**\$1.87**

- The winning cities are not the shortest-haul options; they are the strongest price-support markets.
- Nearby alternatives lose because lower local pricing gives back the mileage advantage.
- San Diego is the low-mile hedge inside an otherwise premium-price set.

## Shipping +50% compresses profit but does not change the recommendation

### BASE VS +50% FREIGHT



### TOP-5 AVG PROFIT

**\$12.8k**

### AVG MARGIN

**64.9%**

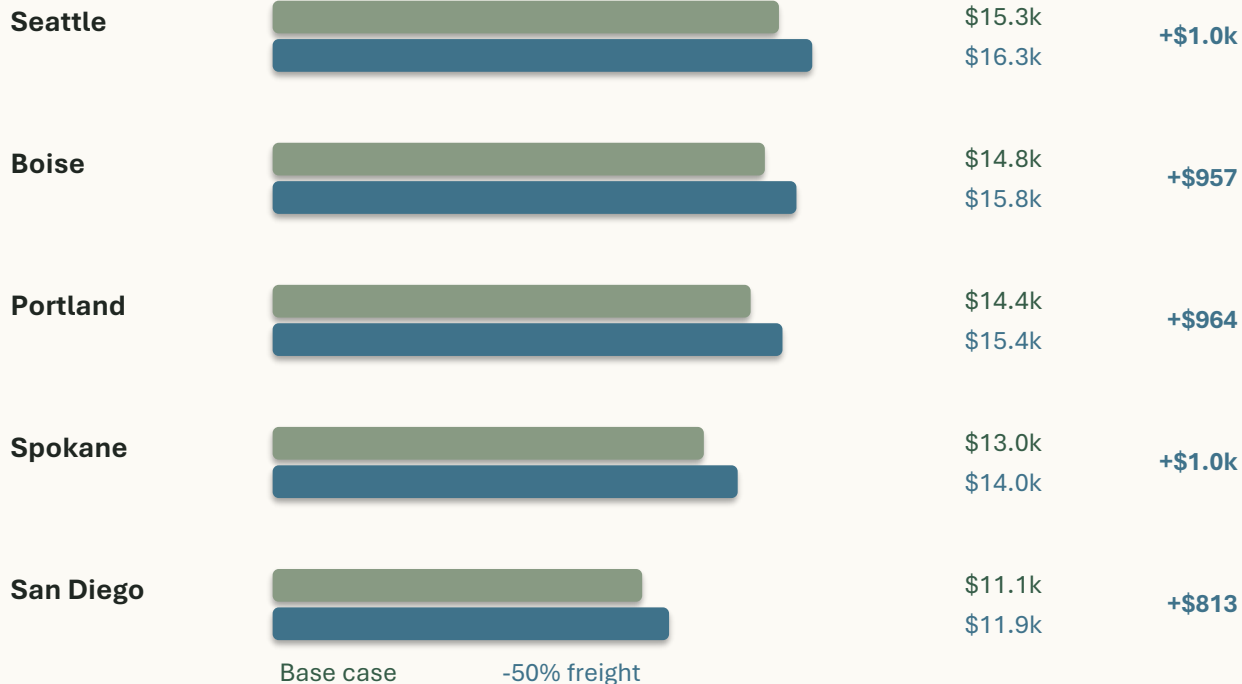
### RESULT

**Same 5 cities**

- Profit compresses in every selected city.
- The ranking does not change because local price support still dominates freight.
- This is a resilience test, not a claim that shipping does not matter.

## Shipping -50% expands profit but still does not change the recommendation

### BASE VS -50% FREIGHT



### TOP-5 AVG PROFIT

**\$14.7k**

### AVG MARGIN

**74.6%**

### RESULT

**Same 5 cities**

- Every selected city benefits from lower freight.
- The rank order still does not move.
- That confirms the decision is about optimization, not about barely surviving freight.

## The same five cities stay top-ranked in every modeled scenario

RANK MATRIX

| Rank | Base      | +50%      | -50%      |
|------|-----------|-----------|-----------|
| 1    | Seattle   | Seattle   | Seattle   |
| 2    | Boise     | Boise     | Boise     |
| 3    | Portland  | Portland  | Portland  |
| 4    | Spokane   | Spokane   | Spokane   |
| 5    | San Diego | San Diego | San Diego |

RANK CHANGES

0

SELECTED SET

Same 5 cities

- Base, upside, and downside freight scenarios all return the same five cities in the same order.
- That is the cleanest evidence that the recommendation is structurally stable.
- The explanation comes next: price support matters more than sensitivity alone.

## Shipping sensitivity is highest in distant markets, not in the recommended set

### LARGEST +/-50% PROFIT SWINGS

|                     |                                                                                     |         |
|---------------------|-------------------------------------------------------------------------------------|---------|
| Boston              |   | \$1,500 |
| HartfordSpringfield |   | \$1,476 |
| Albany              |   | \$1,458 |
| New York            |   | \$1,448 |
| Philadelphia        |   | \$1,440 |
| HarrisburgScranton  |   | \$1,429 |
| Syracuse            |   | \$1,423 |
| BaltimoreWashington |  | \$1,420 |

### HOW TO READ IT

- Red bars are the most freight-sensitive markets overall.
- Green bars show recommended cities that still move less than the most exposed long-haul markets.
- Sensitivity affects margin, but it does not explain the final ranking by itself.

#### RECOMMENDED

~~\$813-~~  
\$1,024

#### WHAT MATTERS

**Price still  
wins**



## Local retail price is the main lever behind rank stability

### TOP JUNE PRICE SUPPORT

|                  |                                                                                    |        |
|------------------|------------------------------------------------------------------------------------|--------|
| Seattle          |   | \$2.66 |
| Boise            |   | \$2.59 |
| Portland         |   | \$2.54 |
| Spokane          |   | \$2.38 |
| San Diego        |   | \$2.09 |
| San Francisco    |   | \$1.97 |
| CincinnatiDayton |   | \$1.92 |
| Sacramento       |  | \$1.90 |

### TOP FREIGHT SENSITIVITY

|                     |                                                                                      |         |
|---------------------|--------------------------------------------------------------------------------------|---------|
| Boston              |   | \$1,500 |
| HartfordSpringfield |   | \$1,476 |
| Albany              |   | \$1,458 |
| New York            |   | \$1,448 |
| Philadelphia        |   | \$1,440 |
| HarrisburgScranton  |   | \$1,429 |
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| BaltimoreWashington |  | \$1,420 |

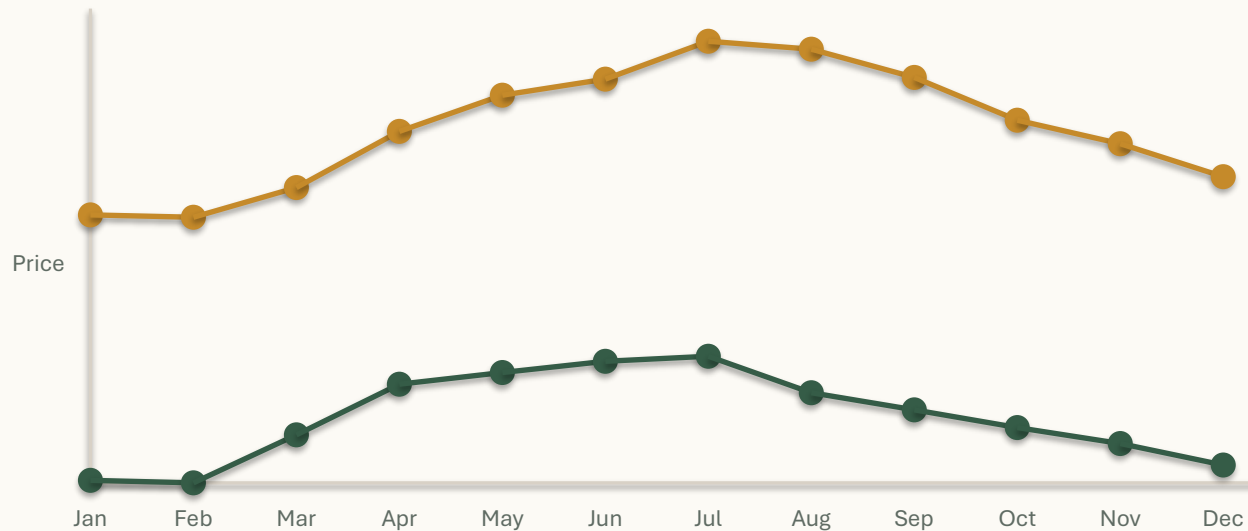
The selected cities dominate the price ranking, not the sensitivity ranking. That is why local price support, not freight volatility alone, explains why the recommendation stays stable.

## Prices reach their high point in July

MONTHLY PRICE PROFILE

CONVENTIONAL

ORGANIC



CONVENTIONAL PEAK

Jul

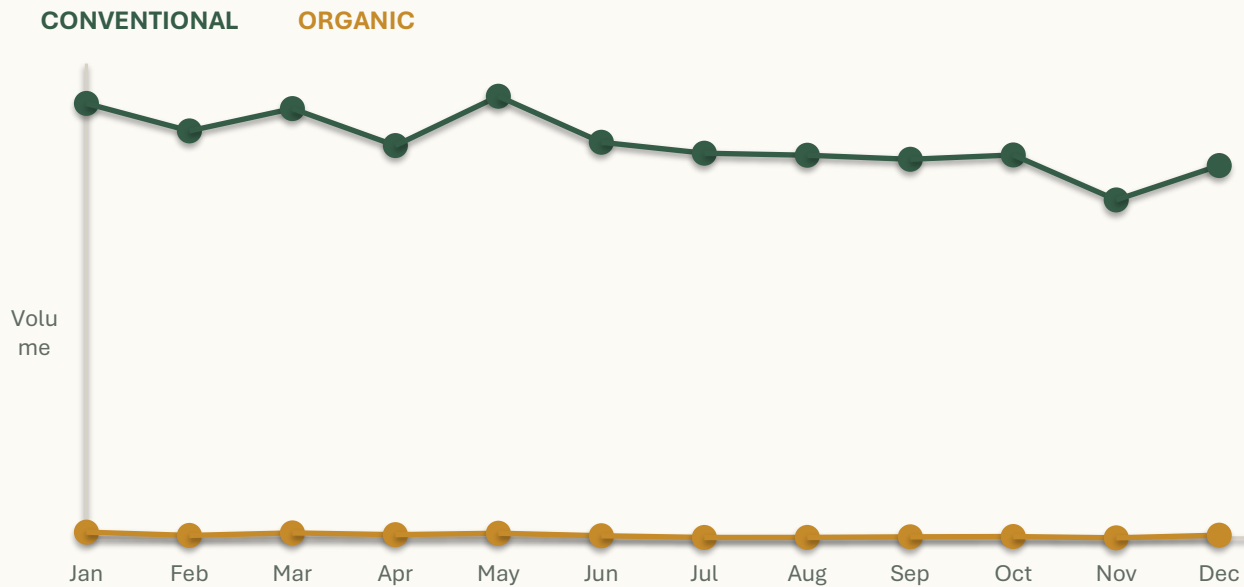
ORGANIC PEAK

Jul

- Both product types peak in July, not during the highest-volume months.
- That means the operating plan should switch from service protection to margin protection in summer.
- Summer is the cleanest season for monetizing premium markets.

# Volumes peak earlier and trough in November

MONTHLY VOLUME PROFILE



CONVENTIONAL PEAK

**May**

ORGANIC PEAK

**Jan**

- Organic volume peaks in January while conventional peaks in May.
- Both soften into November, which is why off-peak demand support matters.
- Volume timing and price timing do not line up, creating the duck-curve operating problem.

# Seasonality should change when West Valley pushes volume and when it protects margin

Organic volume peaks in Jan while price peaks in Jul; that gap is the operating lever.

Jan

Feb

Mar

Apr

May

Jun

Jul

Aug

Sep

Oct

Nov

Dec

## OPERATING STANCE

## WINDOW

## WHAT WEST VALLEY SHOULD DO

## WHY IT MATTERS

Push volume

Jan to May

Prioritize service, retailer availability, and clean flow while the market is naturally absorbing more units.

This is the best window to prove service quality before summer pricing peaks.

Protect margin

Jul to Sep

Hold pricing discipline and allocate the strongest fruit to the highest-paying pilot markets.

Price support is strongest here, so margin capture matters more than raw throughput.

Stimulate demand

Nov to Feb

Use promotions, alternate channels, and tighter inventory planning when both types soften.

Low-demand months require commercial support so the pilot does not confuse seasonality with weak economics.

Management implication: the pilot should be judged against the right seasonal job each month, not against a flat annual operating assumption.

# A monthly operating calendar can convert seasonality from risk into advantage

READING GUIDE

Service

Protect margin

Stimulate demand

Rebalance / reset

|                    | Jan       | Feb       | Mar      | Apr      | May       | Jun       | Jul         | Aug         | Sep         | Oct       | Nov       | Dec       |
|--------------------|-----------|-----------|----------|----------|-----------|-----------|-------------|-------------|-------------|-----------|-----------|-----------|
| Commercial posture | Stimulate | Stimulate | Support  | Support  | Service   | Balance   | Protect     | Protect     | Protect     | Rebalance | Stimulate | Stimulate |
| Supply posture     | Flex up   | Flex up   | Flex up  | Flex up  | Peak flow | Normalize | Tighten mix | Tighten mix | Tighten mix | Reset     | Flex down | Flex down |
| Operating focus    | Forecast  | Promote   | Allocate | Allocate | Service   | Audit     | Margin      | Margin      | Margin      | Plan      | Clear     | Review    |

JAN TO MAY

## Service + flow

Prove availability while market volume is naturally strongest.

JUL TO SEP

## Margin season

Allocate tightly and protect price in the premium window.

NOV TO FEB

## Demand support

Use promotions and lean inventory to protect demand.

# Growers need flexible contracts, better cold-chain readiness, and alternate lanes

Supply-side seasonality discipline should be built into contracts and execution rules before the pilot scales.

## LEVER

## HOW IT SHOULD WORK

## CRITICAL OPERATING MOVE

## WHY IT MATTERS

**Contract tiers**

**Base + flex volume**

Lock a stable base commitment, then layer in seasonal flex volume so supply can expand without year-round overcommitment.

Prevents the pilot from buying peak-season optionality with permanent fixed cost.

**Cold-chain readiness**

**Protect service**

Tighten transit monitoring, storage discipline, and receiving checks during the months when flow is highest.

Spoilage and service misses can erase good city economics faster than freight swings do.

**Alternate lanes**

**Reduce disruption**

Pre-qualify backup carriers and routes before the peak season so lane shocks do not force reactive reallocations.

The pilot should never have to choose between service and margin because a lane fails.

## OPERATING RULE

**Contract base volume, protect the cold chain, and pre-book fallback lanes before peak flow starts.**

# Trade associations should smooth demand in off-peak months

Demand-side support should be strongest in the softest months, not wasted when the market is already doing the work.

## OFF-PEAK PLAYBOOK

- 1 CONSUMER MESSAGING**  
Push recipes, convenience, and health messaging when avocados are less visible in routine weekly shopping.
- 2 CHANNEL MIX**  
Lean harder on food-service, prepared foods, and institutional channels when retail pull weakens.
- 3 PROMO TIMING**  
Use the strongest promo calendar in soft months rather than discounting away naturally strong summer demand.
- 4 TRADE SUPPORT**  
Coordinate retailer calendars with association campaigns so promotions follow the seasonal operating plan.

## WHERE TO PUSH HARDER

### SOFTTEST MONTHS

**Nov to Feb**

### GOAL

**Protect  
demand**

- Do not confuse seasonal softness with weak pilot economics.
- Use the same monthly calendar across retailers, channels, and trade campaigns.
- Measure promotional lift separately from baseline reorder demand.

### EXECUTION RULE

**Front-load support**

Spend trade dollars in Nov-Feb, not when summer demand is already doing the work.

# A shared monthly S&OP cadence can align growers, West Valley, and retail partners

The operating model is stronger when the same monthly forum translates market signals into volume, routing, and promotion decisions.

## GROWERS

### Supply commitment

Provide base volume, flex capacity, and harvest timing updates.

## WEST VALLEY

### Control tower

Convert price, freight, and demand signals into city allocation decisions.

## RETAILERS

### Demand signal

Feed promo calendars, replenishment risk, and reorder visibility into the review.



## CADENCE

### Monthly

Update commitments and allocations every month, not quarterly.

## DECISION OUTPUT

### Commit + allocate

Reset grower volume, lanes, and promo timing in the same review.

## SUCCESS SIGNAL

### Margin + service

Higher realized margin should not come with fill-rate or freshness slippage.



# Launch the 2026 pilot first, then scale what the market confirms

Treat the first year as a live test of economics, service, and demand quality rather than a commitment to broad expansion.

## ROLLOUT ROADMAP

**2026**

### PILOT

Launch the five-city test and prove realized margin, fill rate, and spoilage control.

What must be true: city economics hold in live execution.

**2027**

### EXPAND SELECTIVELY

Add retailer doors only in markets where reorder behavior and service levels remain strong.

What must be true: economics survive broader coverage.

**2028**

### OPTIMIZE SYSTEM

Tighten grower contracts, allocation logic, and seasonal playbooks around what the pilot confirms.

What must be true: process gains are repeatable.

## SCALE ONLY IF



### MARGIN

Realized margin clears the base-case plan after freight and spoilage.



### SERVICE

Fill rate stays credible through seasonal peaks and lane pressure.



### DEMAND

Retailers reorder because pilot demand is repeatable, not promotional noise.

# Pilot KPIs should focus on margin, service, spoilage, and repeat orders

## HEALTH CHECK

### GROSS MARGIN

Primary proof that price support and cost discipline hold.

### FILL RATE

Primary proof that service can scale in live operation.

### REORDER RATE

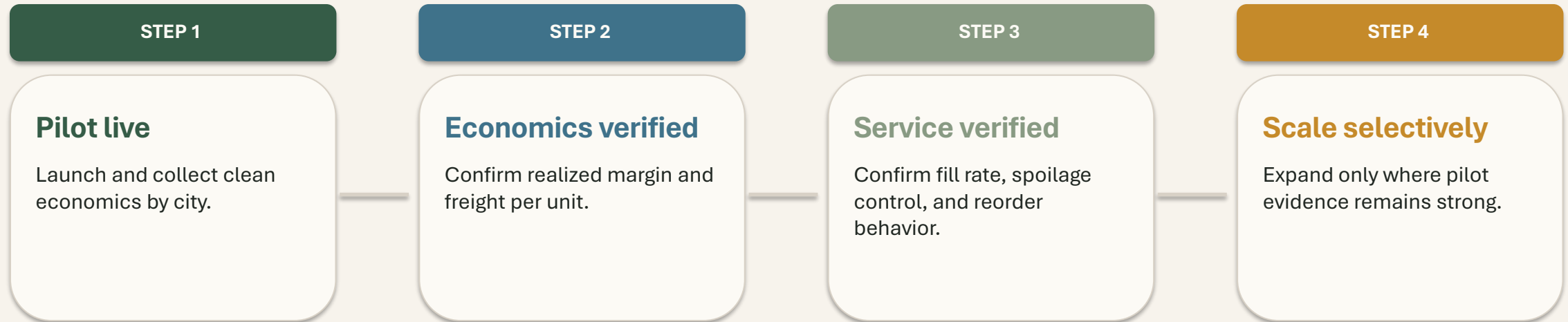
Primary proof that demand is recurring, not one-off.

## PILOT SCORECARD

| KPI                   | Why it matters                                                | Cadence / owner      |
|-----------------------|---------------------------------------------------------------|----------------------|
| Realized gross margin | Confirms whether forecast economics survive live execution.   | Weekly / finance     |
| Freight per unit      | Shows whether routing and carrier discipline are improving.   | Weekly / logistics   |
| Fill rate             | Measures retailer execution quality during seasonal peaks.    | Weekly / operations  |
| Spoilage rate         | Captures cold-chain and freshness failures directly.          | Weekly / operations  |
| Reorder rate          | Tests whether demand is repeatable beyond launch.             | Monthly / commercial |
| Forecast accuracy     | Shows whether monthly S&OP is improving allocation decisions. | Monthly / planning   |

# Expansion should follow stage gates, not automatic geography growth

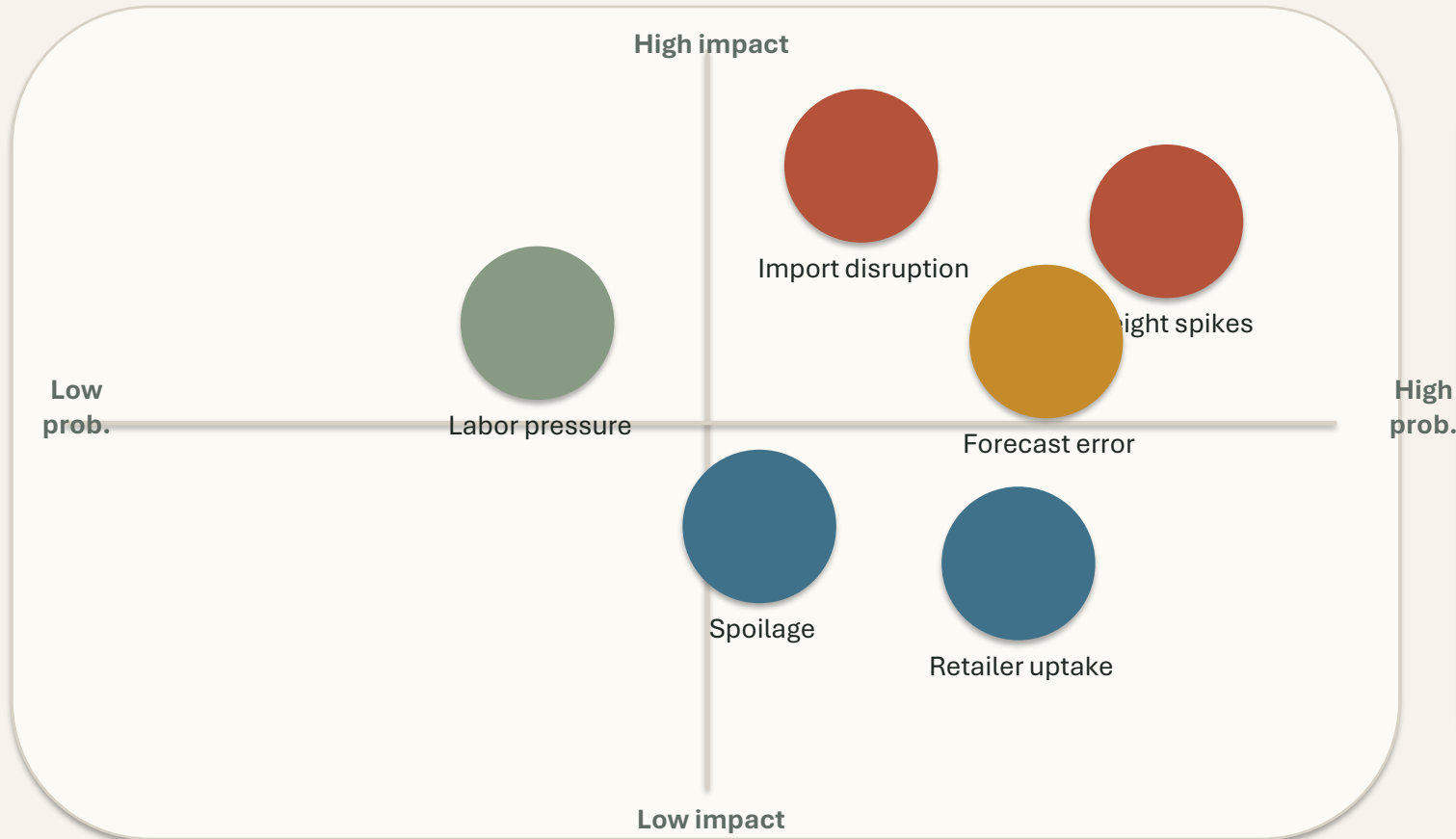
The model is strong enough to choose where to test, but scale should still depend on pilot evidence rather than assumed allocation precision.

**TAKEAWAY**

**Use the pilot to validate economics and service before any geography expansion.**

The model chooses where to test well, but it should not be treated as precise retailer-level allocation truth yet.

# The highest-risk threats are freight spikes, import disruptions, and forecast error



## WATCHLIST

### FREIGHT SPIKES

Pre-book core lanes and keep alternates warm before the peak season hits.

### IMPORT DISRUPTION

Use flexible grower commitments and staggered sourcing windows.

### FORECAST ERROR

Re-run allocation decisions monthly using realized pilot demand.

## Each major risk has a specific operational countermeasure

The deck is stronger when every major threat already has an operational response and clear owner.

| Risk                        | Trigger                              | Countermeasure                                                 | Owner           |
|-----------------------------|--------------------------------------|----------------------------------------------------------------|-----------------|
| Freight spikes              | Peak-season lane tightness           | Lock core carrier capacity and maintain alternate lanes.       | Logistics lead  |
| Import or supply disruption | Supply interruption or customs delay | Use flexible grower contracts and staggered commitments.       | Sourcing lead   |
| Spoilage / service failures | Shrink or weak fill-rate trend       | Tighten cold-chain controls and receiving discipline.          | Operations lead |
| Forecast error              | Demand misses by city                | Run monthly S&OP and reallocate by city using realized demand. | Commercial lead |
| Retailer uptake risk        | Weak reorder behavior                | Require stage gates before expanding beyond the pilot.         | General manager |

Operating principle: the pilot should never carry an unmanaged risk; every major threat must already have a trigger, action, and owner before scale decisions are made.

# The current model is strong enough for city selection but not yet for exact allocation

## What we can defend now

- The cleaned dataset resolves to 40 city markets even though the case text references 41 metro regions.
- The model is useful for choosing where to test because it compares cities on a consistent 20,000-unit scorecard.
- The ranking is resilient: all 40 cities remain profitable even at +50% shipping, so this is an optimization problem.

## What still needs more data

- 2025 is partial-year data only and June 2025 retail price is used as the simple proxy for June 2026 retail price.
- The model does not include spoilage shrink, retailer-level demand curves, or a fully expanded operating cost stack.
- That means the deck can defend city selection today, but not an exact retailer-by-retailer allocation plan yet.

## NEXT DATA TO COLLECT

Pilot reorder behavior, spoilage by lane, and retailer-level demand response would let West Valley move from city selection to exact allocation logic.

# Launch the 5-city pilot, then scale only where the pilot confirms the model

## FINAL RECOMMENDATION

**Launch Seattle, Boise, Portland, Spokane, and San Diego first.**

The recommendation is robust because premium city pricing stays stronger than modeled freight swings and seasonality can be managed operationally.

SEATTLE

BOISE

PORTLAND

SPOKANE

SAN DIEGO

AVG PROFIT

**\$13.7k**

TOP-5 MARGIN

**69.7%**

FREIGHT RESULT

**Same 5 cities**

## ECONOMICS

**\$13.7k avg profit**

The top five produce a materially stronger average profit than the next tier.

## RESILIENCE

**Same 5 cities**

The ranking is unchanged in the base, +50%, and -50% freight cases.

## OPERATING DISCIPLINE

**Pilot before scale**

Run the pilot first, then expand only where

Next step: launch, measure realized economics, and scale selectively rather than assuming the full model is already proven.

## Backup map: sources, assumptions, and appendix exhibits

### Primary sources

- case\_full.md and case\_context.md
- case\_comp\_data.csv
- outputs/question\_1.md through outputs/question\_9.md
- q5 to q7 profitability scenario CSVs
- q8 seasonality CSVs and charts

### Core assumptions

- 20,000-unit comparable city scorecards
- June 2025 retail price used as June 2026 proxy
- Wholesale price modeled at 40% of retail
- \$0.20 acquisition cost per avocado
- Shipping = \$1,500 fixed + \$50 per 100 miles

### Backup exhibits available

- Winner matrix and city trend lines
- Growth/share bridge and elasticity visuals
- Selection matrix, frontier zoom, and freight sensitivity
- Seasonality price and volume charts
- Model caveats and implementation stage gates

Use this appendix to answer questions on data scope, scenario assumptions, seasonality, or why the five-city recommendation stays stable under freight stress.